

INDITEX (BME: ITX) EQUITY RESEARCH

Recommendation	BUY
Price	€57.28
Target Price	€60.50
Upside	5.6%
Date	30 July 2026

Analyst: Dimitrios Leftakis de Leon

2. Investment Summary

Thesis

We initiate coverage of Inditex with a **BUY** recommendation and a target price of **€60.50 per share**, implying approximately **5.6% upside** from the current market price of €57.28 (as of 30th July 2026). Through a discounted cash flow analysis and peer-group trading multiples, we find that the market has not fully priced in Inditex's structural growth runway in the Americas, its best-in-class operational execution, and the defensive quality of its earnings. Our base-case DCF values the shares at €60.50 using a WACC of 6.5%, reflecting a European-benchmarked beta of 0.70 and an equity risk premium of 4.75%. We maintain EBIT margins near their current record highs of 20.2%, which we view as structurally supported rather than cyclical. The implied beta required to justify the current share price is approximately 0.46, well below any measured estimate, suggesting the market already prices Inditex as a defensive compounder — a classification our analysis supports.

Table 1: Key Investment Metrics

METRIC	VALUE
SHARE PRICE	€57.28
MARKET CAP	€178.5bn
ENTERPRISE VALUE	€173.5bn
NET CASH (AFTER LEASES)	€5.0bn
FY2026A REVENUE	€39.9bn
FY2026A EBIT	€8.0bn
FY2026 EBIT MARGIN	20.2%
EV/EBITDA	15.3x
PEER MEDIAN EV/EBITDA	8.3x
P/E	28.7x
DIVIDEND YIELD	3.0%
IMPLIED BETA AT MARKET PRICE	0.46
MEASURED BETA	0.70

Figure 2: Valuation Summary

Methodology	Value (€)	Upside/Downside
DCF Bear	40.39	(29.5%)
DCF Base	60.50	5.6%
DCF Bull	81.30	41.9%
EV/EBITDA Comps	31.75	(44.6%)
EV/Sales Comps	37.43	(34.6%)
Current Price	57.28	-

Key Downside Risk

Our investment thesis would be challenged if EBIT margins revert toward their pre-2022 levels of 15-17% due to rising input costs, competitive pressure from Shein and Temu, or macroeconomic deterioration. Additionally, a failure of the Americas expansion to deliver above-group growth would undermine the structural growth premium embedded in our valuation.

3. Company Overview

What is Inditex?

Inditex is the world's largest apparel retailer by revenue and the parent company of Zara — one of the most recognisable global fashion brands. Headquartered in Arteixo, Spain, the company operates an integrated retail model by combining design, sourcing, manufacturing, logistics and retail distribution with a highly coordinated supply chain. Unlike traditional apparel retailers that can require four to six months to move products from design to store shelves, Inditex can respond to changing consumer demand in as little as two weeks. This fast-fashion operating model allows the company to produce smaller inventory batches as well as minimise markdown risk.

Brand Portfolio

Although Zara is still the core profit engine and accounts for 70% of total revenues, Inditex operates a diversified portfolio of brands targeting different consumer segments. These include: 1) Bershka focuses on younger customers and streetwear-inspired fashion 2) Pull&Bear targets casual everyday wear 3) Stradivarius addresses trend-driven female consumers 4) Massimo Dutti occupies a more premium position in the market 5) Oysho focuses on activewear and intimate apparel 6) Lefties serves value-oriented consumers 7) Zara Home provides home furnishing products. Despite this diversification, Zara remains overwhelmingly dominant and effectively subsidises the rest of the portfolio through its scale and profitability.

Scale & Geographic Footprint

Inditex operates 5,460 stores across 215 markets globally, making it one of the most geographically diversified retailers in the world. Europe represents the largest contributor to revenue at approximately 54%, followed by the Americas at 17.5%, Spain at 16.9% and the rest of the world at 11.6%. Importantly, Inditex does not treat ecommerce as a separate business line. Instead, stores and online operations are integrated through initiatives such as ship-from-store and click-and-collect, creating a unified cross-channel retail model. Around 91% of revenues are generated through company-operated channels, with only a small contribution from franchise operations.

Financial Profile

Inditex generated FY2026 revenue of €39.9bn and EBIT of €8.0bn which represents a record 20.2% operating margin. The company maintains one of the strongest balance sheets in global retail, holding approximately €11bn of cash while carrying no meaningful financial debt. The only significant balance sheet obligations are IFRS 16 lease liabilities of roughly €5.9bn. Capital expenditure requirements remain modest at approximately 7% of revenue, allowing strong free cash flow generation and supporting a dividend yield of around 3%. Inditex is a textbook quality company. The key question for investors is whether the market has fully appreciated the structural advantages that support its premium valuation.

4. Investment Thesis — The Case for BUY

4a. Structural quality deserves a structural premium

Inditex currently trades at approximately 15.3x EV/EBITDA compared to a peer median of 8.3x. We believe this premium is justified and, if anything, not fully appreciated by the market. The company's vertically integrated supply chain delivers a fundamental competitive advantage that no peer has replicated at scale. The two-week design-to-shelf cycle creates a feedback loop between consumer demand and production that structurally supports higher full-price sell-through rates, lower inventory risk, and superior margins. H&M, the closest business-model twin, trades at only 8.1x EV/EBITDA — the gap quantifies the value of execution excellence within the same format. Fast Retailing, the only peer at comparable scale and quality, trades at 24.3x — validating that the market is willing to pay substantial premiums for proven, durable retail platforms.

Our DCF valuation reaches a fair value of €60.50 using a WACC of 6.5% and terminal growth of 3.0%. The resulting implied terminal EV/EBITDA is 15.8x, which represents moderate compression from the current 18.5x but still reflects the company's enduring quality. The implied beta required to justify the current share price is approximately 0.46 — a risk profile more consistent with regulated utilities than a global retailer. While this is lower than any measured estimate, it reflects the market's growing recognition that Inditex's earnings are unusually resilient for the sector.

4b. Margins are structurally supported

Inditex has delivered exceptional margin expansion over recent years, increasing EBIT margins from 15.4% in FY 2022 to 20.2% in FY2026. While some of this improvement has been driven by favourable freight costs and operating leverage, we believe the majority reflects structural changes in the business model. Zara's increasing importance within the group has supported pricing power and mix improvement. The company's integrated operating model has allowed inventory management to remain efficient despite volatile consumer demand. Advances in data analytics and supply-chain management have permanently improved operating economics.

Our model assumes EBIT margins remain broadly stable at approximately 20.2%-20.3% through FY2031E. This is a supportive but realistic assumption. There are risks — Chinese sourcing remains vulnerable to geopolitical and tariff-related disruption, and low-cost competitors such as Shein and Temu continue to put pressure on pricing across the value segment. However, Inditex's premium positioning and integrated supply chain provide meaningful insulation from these competitive pressures. We view margins above 20% as a sustainable new normal rather than a cyclical peak.

4c. Americas growth provides a meaningful runway

The Americas currently account for approximately 17.5% of group revenue and represent one of Inditex's most significant growth opportunities. Continued investment in Zara's US footprint and the expansion of Bershka could unlock a meaningful runway for future growth. Our model assumes revenue growth of 8% in FY2027E, fading gradually to 5.5% by FY2031E, reflecting a blend of continued Americas expansion, like-for-like growth, and price/mix improvement. While this is above the FY2026 growth rate of 3.2%, we believe FY2026 represented a temporary slowdown driven by one-off factors including significant store absorptions (293 closures vs 190 openings). The company's size does create a natural constraint on growth, but at nearly €40bn in revenue, a 6-8% growth rate remains achievable through a combination of new market entry, digital penetration, and same-store sales growth.

4d. Fortress balance sheet underpins value

Inditex possesses one of the strongest balance sheets in the global retail sector. The company holds approximately €11.0bn of cash and short-term investments while carrying no meaningful financial debt. The only significant debt-like obligations are lease liabilities totalling approximately €5.9bn under IFRS 16. After adjusting for leases, net cash amounts to roughly €5.0bn. This financial flexibility substantially reduces downside risk and provides significant optionality for management. Additional dividends or share repurchases could increase earnings per

share without requiring stronger operational performance. Strategic acquisitions could provide access to new technologies, brands or geographic markets. Cash is fully reflected in our DCF equity bridge (added) and comps bridge (deducted from EV).

5. Industry & Competitive Landscape

Fast-fashion market

The global apparel industry is increasingly characterised by intense competition, shorter product cycles, and changing consumer purchasing behaviour. Traditional fast-fashion retailers now face pressure from both value-oriented digital challengers and premium apparel brands. At the lower end of the market, platforms such as Shein and Temu have leveraged highly flexible supply chains and data-driven merchandising to offer trend-responsive products at extremely low price points. Their asset-light operating models eliminate many of the fixed costs associated with maintaining extensive physical store networks and allow them to compete aggressively on price.

At the opposite end of the market, luxury and accessible-luxury brands have expanded their reach and broadened product offerings, increasing competition for higher-income consumers. However, Inditex has consistently outperformed peers through superior supply chain management, stronger brand equity and faster inventory turnover. The company's ability to adapt to changing consumer preferences has enabled it to maintain market share while preserving profitability.

Inditex moat

Inditex's primary competitive advantage lies in its vertically integrated business model. Unlike many competitors that outsource significant portions of production and distribution, Inditex retains substantial control over design, manufacturing, logistics and inventory management. This allows products to move from concept to store shelves in approximately two weeks, compared to four to six months for many traditional retailers. The company also benefits from a unique feedback loop between stores and production teams. Real-time demand information is incorporated into inventory and design decisions, enabling rapid replenishment of successful products and reducing excess stock. Small production batches create scarcity, support full-price sell-through rates and minimise markdown activity.

Competitive positioning by peer

H&M; remains the closest business-model comparable to Inditex. Both companies operate large-scale fast-fashion businesses with global store networks. However, Inditex consistently generates higher margins, stronger inventory productivity and superior cash generation. The valuation gap between the two companies reflects the market's willingness to pay a significant premium for better execution.

Fast Retailing, the owner of Uniqlo, represents the closest peer in terms of scale, profitability and global brand strength. Notably, it trades at valuation multiples above those of Inditex, suggesting investors are willing to place substantial value on businesses perceived as possessing durable competitive advantages and long growth runways. Next offers an important comparison — the company has demonstrated exceptional operational execution, capital discipline and shareholder returns while trading at significantly lower multiples. This raises an important question for investors: how large should the premium for Inditex's global scale and growth profile really be? We believe the answer is "substantial" given the Americas growth runway.

Figure 3: Trading Comparable Company Multiples

Company	Ticker	Mkt Cap (€bn)	EV (€bn)	EV/Sales (x)	EV/EBITDA (x)	P/E (x)
H&M	HMB:SS	25.3	28.8	1.4x	8.1x	22.7x
Fast Retailing	9983:JP	133.2	124.9	6.3x	24.3x	51.6x
Next plc	NXT:LN	20.4	22.3	2.8x	11.7x	20.4x
Zalando	ZAL:GR	7.4	7.5	0.6x	10.0x	27.9x
ABF (Primark)	ABF:LN	17.2	20.7	0.9x	6.8x	15.8x
M&S	MKS:LN	9.7	12.6	0.6x	8.3x	15.1x
Gap	GAP:US	6.3	8.5	0.6x	8.1x	7.6x

Peer median				0.9x	8.3x	20.4x
Core peers median				2.8x	11.7x	22.7x
Inditex	ITX:SM	178.5	173.5	4.4x	15.3x	28.7x

Source: Yahoo Finance; author calculations

6. Financial Analysis

Table 3: Historical and Forecast Financial Performance (FY2022A-FY2031E)

	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue (€m)	27,716	32,569	35,947	38,632	39,864	43,053	46,067	49,041	51,984	54,843
Revenue growth (%)	n/a	17.5%	10.4%	7.5%	3.2%	8.0%	7.0%	6.5%	6.0%	5.5%
EBITDA, lease-adj. (€m)	5,558	6,779	8,148	8,878	9,385	10,231	10,955	11,691	12,406	13,113
EBIT (€m)	4,264	5,571	6,856	7,594	8,045	8,697	9,306	9,955	10,553	11,131
EBIT margin (%)	15.4%	17.1%	19.1%	19.7%	20.2%	20.2%	20.2%	20.3%	20.3%	20.3%
NOPAT (€m)	3,243	4,130	5,381	5,866	6,220	6,740	7,212	7,665	8,126	8,571
D&A excl. lease dep. (€m)	1,294	1,208	1,292	1,284	1,340	1,615	1,728	1,839	1,949	2,057

Margin Analysis

Inditex has delivered exceptional profitability growth over the last five fiscal years. EBIT increased from €4.3bn in FY2022 to €8.0bn in FY2026, while EBIT margin expanded from 15.4% to 20.2%. This represents approximately 480 basis points of margin expansion over the period and reflects one of the strongest profitability improvements among global apparel retailers.

Our forecasts assume margins remain broadly stable at approximately 20.2%-20.3% through FY2031E. This effectively treats current profitability as sustainable. While there is evidence supporting this view — Zara's pricing power, operational leverage from scale, and structural supply-chain efficiency gains — investors should recognise that current margins are at all-time highs. Any moderation in pricing power, increases in sourcing costs, or deterioration in consumer demand could pressure profitability.

FCF Analysis

Free cash flow generation remains one of Inditex's greatest strengths. Historical unlevered free cash flow has averaged approximately €4.0-4.3bn annually, equivalent to roughly 10-11% of revenue. Forecast free cash flow increases from approximately €5.6bn in FY2027E to over €7.1bn by FY2031E.

These forecasts assume capital expenditure equivalent to approximately 6.0% of revenue. This is slightly above management guidance of approximately €2.3bn or roughly 5.5% of revenue, reflecting the likelihood of continued investment in technology, logistics infrastructure and store optimisation initiatives. Working-capital requirements are modelled as a cash outflow equivalent to 0.5% of revenue annually.

Balance Sheet Analysis

Inditex possesses one of the strongest balance sheets in the global retail sector. The company holds approximately €11.0bn of cash and short-term investments while carrying no meaningful financial debt. The only significant debt-like obligations are lease liabilities totalling approximately €5.9bn under IFRS 16. After adjusting for leases, net cash amounts to roughly €5.0bn. This financial flexibility substantially reduces downside risk and provides significant optionality regarding future shareholder distributions or strategic investments. Cash is added and lease liabilities deducted within the DCF equity value bridge.

7. Valuation

DCF

Our primary valuation methodology is a discounted cash flow model based on a five-year explicit forecast period extending from FY2027E through FY2031E. Free cash flows are discounted using a mid-year convention to better reflect the timing of cash generation throughout the year. A terminal value is calculated using the Gordon Growth methodology.

The model employs a WACC of 6.50%, derived using CAPM assumptions of a 3.3% risk-free rate, a beta of 0.70 and an equity risk premium of 4.75%. This produces a cost of equity of 6.63%. The beta is measured against the STOXX Europe 600 — the appropriate benchmark for a European-listed company — and Blume-adjusted. We use an ERP of 4.75%, consistent with the Dimson-Marsh-Staunton long-run estimate for European equities. Combining this with an after-tax cost of debt of 2.77% and applying the appropriate capital structure weights results in the final WACC assumption. Terminal growth is set at 3.0%, reflecting Inditex's global footprint — 46% of revenue comes from outside Europe, where long-run nominal GDP growth exceeds Eurozone rates.

Free cash flow is calculated as: **EBIT × (1 – Tax Rate) + Non-Lease D&A; – Capex – Working Capital Investment**

Figure 3: DCF Valuation Bridge

VALUATION	
Sum of PV of FCFs (€m)	26,888
PV of terminal value (€m)	156,602
Enterprise value (€m)	183,491
Less: lease liabilities (€m)	(5,935)
Add: cash & ST investments (€m)	10,960
Equity value (€m)	188,516
Shares outstanding (m)	3,116.1
Implied share price (€)	60.50
Current share price (€)	57.28
Implied upside (downside) (%)	5.6%

A number of cross-checks support the robustness of the valuation framework. Terminal value accounts for approximately 85% of enterprise value, at the upper end of the typical 60-80% range observed in mature businesses but consistent with a quality compounder where near-term cash flows are smaller relative to long-run value. The implied terminal EV/EBITDA multiple is 15.8x — a moderate compression from the current 18.5x, suggesting the model embeds realistic deceleration without assuming a complete derating. This is significantly more reasonable than an exit multiple below 10x, which would imply the market reclassifies Inditex as an average retailer — an outcome inconsistent with the company's structural advantages.

Figure 4: DCF Cross-Check Analysis

CROSS-CHECKS	
Terminal value as % of EV	85.3%
Implied exit EV/EBITDA (lease-adj., x)	15.8x
Current EV/EBITDA (lease-adj., x)	18.5x
Terminal EBITDA margin (lease-adj., %)	24.1%

Sensitivity Analysis

Given the importance of long-term assumptions in any DCF model, sensitivity analysis was performed on both discount rates and terminal value assumptions.

The first sensitivity table varies WACC and terminal growth assumptions. Valuation outcomes range from approximately €41 per share under a 7.5% WACC and 2.0% terminal growth scenario to approximately €134 per share under a 5.5% WACC and 4.0% growth scenario. Our base case (6.5% WACC, 3.0% terminal growth) sits near the centre of this range at €60.50. Importantly, even under moderately conservative assumptions (7.0% WACC, 2.5% growth), the implied value of €53.21 remains within 10% of the current price, supporting our view that Inditex is not overvalued.

Figure 5: DCF Sensitivity Analysis (WACC vs Terminal Growth)

WACC ↓ / g →	2.0%	2.5%	3.0%	3.5%	4.0%
5.50%	62.39	71.35	83.88	102.69	134.03
6.00%	54.84	61.44	70.25	82.58	101.08
6.50%	48.96	54.02	60.51	69.18	81.31
7.00%	44.26	48.24	53.21	59.60	68.13
7.50%	40.42	43.62	47.53	52.43	58.71

Trading Comps

Relative valuation provides additional context for our DCF analysis. Inditex currently trades at approximately 15.3x EV/EBITDA, substantially above the peer median of 8.3x. Applying the peer median EV/EBITDA multiple to Inditex's FY2026 results implies a share price of €31.75. Applying the core-peer EV/Sales multiple produces a valuation of €37.43. However, we believe these relative valuations understate Inditex's fair value because the peer group includes structurally inferior businesses (Gap, ABF, M&S;) that drag the median down. Inditex's execution quality, growth profile, and balance sheet strength justify a significant premium to these peers. The more relevant comparison is Fast Retailing, which trades at 24.3x EV/EBITDA — above Inditex — suggesting that Inditex's current 15.3x multiple may actually undervalue its quality relative to the closest peer.

Scenario Analysis

Figure 8: Scenario Analysis

Scenario	Beta	CoE (%)	WACC (%)	Implied (€)	Up/(Down)
Bull case	0.50	5.68%	5.59%	81.30	41.9%
Base case	0.70	6.63%	6.50%	60.50	5.6%
Bear case	1.10	8.55%	8.36%	40.39	(29.5%)

Figure 9: Implied Beta Required to Support Current Market Price

Beta implied by current share price (€57.28): 0.46

The bull case assumes a beta of 0.50 and generates a value of €81.30 per share, representing the most optimistic reasonable outcome. The base case employs a beta of 0.70, broadly consistent with European-benchmarked historical observations, and results in a valuation of €60.50 per share. The bear case assumes a beta of 1.10 and produces a value of €40.39. The implied beta of 0.46 is below any measured estimate, suggesting that the market already treats Inditex as a defensive compounder — a view we support given the company's resilient earnings profile, but one that leaves limited room for further re-rating on risk alone.

8. Risks to the Buy Thesis

Margin reversion

A key risk to our investment thesis is that current profitability proves cyclical rather than structural. If margins above 20% represent a cyclical peak driven by temporarily favourable input costs rather than a sustainable new normal, fair value could be materially lower than estimated. Sensitivity analysis demonstrates that reducing terminal EBIT margins to 18% (which are still above historical averages) reduces fair value by approximately €10 per share.

Competitive disruption from Shein/Temu

Digital-native competitors do not need to replicate Inditex's physical-store-led model to compete effectively. Platforms such as Shein use social media engagement, online browsing behaviour and direct consumer data as their primary feedback mechanisms. If these platforms continue to gain share in Inditex's core markets, particularly among younger consumers, it could pressure both volumes and pricing power. Zara's premium positioning provides insulation but does not guarantee immunity.

Geopolitical and tariff risk

Chinese sourcing remains a significant component of Inditex's supply chain. Escalating US-China tensions, new tariffs, or supply-chain disruptions could increase input costs and compress margins. The company's proximity-sourcing model (manufacturing close to end markets) mitigates this risk but does not eliminate it entirely.

Americas execution risk

Our growth assumptions rely partly on successful execution of the Americas expansion. If Bershka's US entry or Zara's continued buildout underperform expectations, the growth premium embedded in our valuation would be unjustified. The US apparel market is highly competitive, with Gap trading at just 8.1x EV/EBITDA — a reminder of how brutally the market prices retailers that lose pricing power.

Valuation compression

Inditex trades at a significant premium to peers on every metric. A shift in investor sentiment away from quality/growth factors toward value, or a broader market rotation, could compress multiples regardless of fundamental performance. The implied exit multiple of 15.8x in our DCF already embeds moderate compression, but a sharper derating to peer-median levels would reduce fair value significantly.

9. Appendix

Appendix A: WACC Derivation Table

WACC DERIVATION	
Risk-free rate (%)	3.3%
Beta	0.70
Equity risk premium (%)	4.75%
Cost of equity (%)	6.63%
Pre-tax cost of debt (%)	3.6%
Tax rate for WACC (%)	23.0%
After-tax cost of debt (%)	2.77%
Market cap (€m)	178,490
Total debt (€m)	5,935
Total capital (€m)	184,425
Equity weight (%)	96.8%
Debt weight (%)	3.2%
WACC (%)	6.50%

Appendix B: Sources

Company Sources

Inditex FY2022 Results Release
Inditex FY2023 Results Release
Inditex FY2024 Results Release
Inditex FY2025 Results Release
Inditex FY2026 Results Release
Inditex Investor Relations

Market Data Sources

Yahoo Finance (30 July 2026)
Company filings
Annual reports
Investor presentations

Author Assumptions

Revenue growth forecast assumptions
Margin assumptions
Capital expenditure assumptions
Working capital assumptions
Terminal value assumptions
Beta re-estimation vs STOXX Europe 600

Disclaimer

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